

S&P Global Management Meetings Rwanda, January 16th – 17th, 2024 Discussion Points

S&P Global attendees: Leon Bezuidenhout, Samira Mensah,
Ravi Bhatia, Upamannu Sinha

The table below shows key discussion topics for the upcoming management meetings between S&P Global and Rwandan authorities and other stakeholders in Rwanda:

Discussion topics for:

Ministry of Finance	1
National Bank of Rwanda.....	3
IMF	4
RwandAir	6
Bank of Kigali.....	6
Ministry of Environment.....	Error! Bookmark not defined.

Discussion Topics for Ministry of Finance

I. Macroeconomic Developments

- Projections for GDP and the main growth drivers over the medium term.
- How are global shocks (Russia-Ukraine, higher oil and food prices, slowing global growth) affecting Rwanda.
- What measures are being put in place to mitigate global and domestic risks.

- Progress on IMF Policy Coordination Instrument and structural reforms under the Rwanda National Strategy for Transformation.

II. Fiscal Performance and Debt Burden

Please provide preliminary performance with breakdown of revenue and expenditure for FY2023/24 and medium-term projections

- Execution of FY2023/24 budget to date and medium-term fiscal targets.
- Trends in major revenue categories, revenue flexibility, trends in key expenditure items, priorities as well as the source of medium-term expenditure pressures.
- Fiscal measures taken to address external pressures (rising fuel and food prices, social spending measures in light of elevated inflation)
- Planned revenue- and expenditure-side reforms, with expected fiscal gains or costs over 2024-2027.
- Discussion of the government's capital spending program, in particular most pressing capital needs and priorities.
- Budget financing: Financing plan, with breakdown by creditor and currency over 2024-2027.
- Government debt and debt sustainability
 - Recent trends in debt levels, latest debt stock and the sovereign's borrowing program for 2024 and the medium-term.
 - Please provide us with an updated debt breakdown by type of lender (multilateral, bilateral, private banks), as well as by origin (foreign or domestic), including maturity profile, assessment of sensitivity to interest and exchange rate changes (if available).
 - Expected financial support from multilateral institutions.

III. State-Owned Enterprises / Contingent Liabilities

- Outstanding stock of SOE debt including government guaranteed debt with a breakdown by entity and currency.
- Discussion on the performance of key SOEs, especially relating to debt levels.

Discussion Topics for National Bank of Rwanda

I. Macroeconomic Developments

- Projections for GDP and the main growth drivers over the medium term.
- How are global shocks affecting Rwanda.
- What measures are being put in place to mitigate global and domestic risks.

II. Monetary developments

- Monetary policy developments in 2023 and policy options under consideration.
- Inflation outlook: price trends, administered prices (if any) and sources of inflationary pressures. Please also indicate any impact of global or domestic supply chain issues on inflation.
- Please discuss how tightening global monetary policy may affect local financial markets and the banking sector.
- How is the Central Bank managing risks of rising inflation.
- Exchange rate policy and developments considering current external risks.

III. Balance of Payments

Please provide any available balance of payments estimates and projections for 2023-2027.

- External sector performance: Discussion of recent trade balance performance and prospects, especially for key export sectors as well as tourism and remittances trends in 2022 and onwards.
- Expectations of current account deficit over 2024-2027 and key underlying assumptions.
- Performance of FDI inflows by sector for 2023 and outlook over 2024-27.
- Balance of payments - Financial and capital account
 - Financing of the current account in 2023 and projections
 - Trends in direct and portfolio equity investment

- Anticipated trends in gross foreign borrowing by the public sector, financial institutions, and nonfinancial private sector
- Reserves: Reserves and net errors and omissions
 - Trends in central bank reserves
 - Discussion of errors & emissions and statistical improvements

IV. Financial System

- Recent trends in credit growth: private sector, government, and public enterprises.
- Recent trends in banking sector profitability and asset quality. Expectations for NPLs and provisions for bad loans.

Discussion Topics for the IMF

I. Macroeconomic Developments

- Discuss estimate and projections for GDP (2023 and 2024) as well as the main growth drivers over the medium term.
- Discussion on key risks to the economy.
- How are global shocks affecting Rwanda.
- What measures are being put in place to mitigate global and domestic risks.
- Progress on IMF Policy Coordination Instrument and structural reforms under the Rwanda National Strategy for Transformation.

II. Fiscal Performance and Debt Burden

- Preliminary fiscal performance with breakdown by revenue and expenditure for 2023.
- Trends in major revenue categories, revenue flexibility, trends in key expenditure items, priorities as well as the source of medium-term expenditure pressures.
- Discussion on stimulus measures and impact on fiscal accounts

- Planned revenue- and expenditure-side reforms, with expected fiscal gains or costs over 2024-2027.
- Government debt and debt sustainability. Recent trends in debt levels and expectations for debt levels in 2024 and the medium-term.
- Expected financial support from multilateral institutions, including the IMF.
- Discussion on contingent liabilities from SOEs.

III. Balance of Payments

- External sector performance: Discussion of recent trade balance performance and prospects, especially for key export sectors as well as tourism and remittances trends in 2023 and onwards.
- Expectations of current account deficit over 2024-2027 and key underlying assumptions.
- Balance of payments - Financial and capital account
 - Financing of the current account in 2023 and projections
 - Trends in direct and portfolio equity investment
 - Anticipated trends in gross foreign borrowing by the public sector, financial institutions, and nonfinancial private sector
- Reserves: Reserves and net errors and omissions
 - Trends in central bank reserves and forecasts for 2024 and onwards.

IV. Monetary Policy / Financial System

- Monetary policy developments in 2023 and policy options under consideration.
- Inflation outlook: price trends, administered prices (if any) and sources of inflationary pressures. Please also indicate any impact of global or domestic supply chain issues on inflation.
- Please discuss how tightening global monetary policy may affect local financial markets and the banking sector.
- How is the Central Bank managing risks of rising inflation.
- Exchange rate policy and developments considering current external risks.
- Recent trends in credit growth: private sector, government, and public enterprises.

- Recent trends in banking sector profitability and asset quality. Expectations for NPLs and provisions for bad loans.

Discussion Topics for RwandAir

I. Travel Developments

- Key developments in terms of local and international air travel:
 - Trends in tourist and visitor arrivals
 - Impact of the Omicron virus on RwandAir

II. RwandAir Financial Performance

- Discussion on financial performance of RwandAir over 2023 and projections going forward.
- Please provide us with an updated debt breakdown by type of lender, as well as by origin (foreign or domestic), including maturity profile, assessment of sensitivity to interest and exchange rate changes (if available).
- What is the financing strategy for RwandAir over 2024. Please provide a breakdown of sources of funding, currency composition and type of funding targeted (concessional, commercial, government, etc.)
- Discussion on financial support from the Ministry of Finance over 2023 and expected financial support over 2024.

Discussion Topics for Bank of Kigali

I. Macroeconomic Developments

- Projections for GDP and the main growth drivers over the medium term.
- How are global shocks affecting Rwanda.
- What measures are being put in place to mitigate global and domestic risks.

II. Financial System

- Inflation outlook: price trends, administered prices (if any) and sources of inflationary pressures. Please also indicate any impact of global or domestic supply chain issues on inflation.
- Please discuss how tightening global monetary policy may affect local financial markets and the banking sector.
- How is the banking sector managing risks of rising inflation.
- Recent trends in credit growth: private sector, government, and public enterprises.
- Recent trends in banking sector profitability and asset quality. Expectations for NPLs and provisions for bad loans.